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Case Number: 20STCV12388 Hearing Date: September 21, 2026 Dept: 1

Preliminary Approval of Class Action

Settlement

Department SSC-1

Hon. Theresa M. Traber

Portillo v. IGS Building Services, Inc.

Case

Number: 20STCV12388

Hearing Date: September

21, 2026

TENTATIVE RULING

The Court's tentative ruling is to GRANT preliminary approval, subject to the parties addressing the following:

1. Provide a fully executed Settlement

Agreement. The copy provided does not include counsels' signatures.

2. The escalator clause at Settlement Agreement

¶8 provides Defendant with the option to shorten the Class and PAGA Periods in lieu of increasing the Gross Settlement Amount. The time periods should be confirmed prior to preliminary approval being granted and notice being distributed. Based on current records, the parties and/or administrator should

review and verify the workweek total and confirm the end dates of the Class and PAGA Periods. Provide specific end dates for the Class and PAGA Periods in the Settlement Agreement and Notice.

3.

The settlement of \$300,000 is only approximately 0.38% of the maximum exposure according to counsel. Provide further briefing as to how this is fair and within the ballpark of reasonableness. It appears the settlement amount might be predicated on defendant's financial situation. (Elihu Decl., ¶15.) Provide admissible evidence of Defendant's financial situation, including, if appropriate, financial documents such as a balance sheet, statement of cash flows, profit and loss statement, and the like.

4.

The Class release at Paragraph 5.2 should not include references to the PAGA or be based on the facts alleged in the PAGA Notice. Class cases which include a PAGA claim should have a separate release for the PAGA claim tied to the facts alleged in the notice given to the LWDA. Any released class claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See *Amaro v. Anaheim Arena Mgmt.* (2021) 69 Cal. App. 5th 521, 537 and FN. 5; *Uribe v. Crown Building Maintenance Co.* 70 Cal. App. 5th 986, 1005.)

5. Adequacy of Class Counsel: Provide a summary of Class Counsels' experience and a listing of all prior cases in which each named Class Counsel has been approved by a court to act as lead or co-counsel. (See *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802.)

6.

Adequacy of Class Representative(s): Provide evidence that each proposed class representative has agreed to act as same and understands his or her responsibilities.

(See *Soderstedt v. CBIZ Southern California, LLC* (2011) 197 Cal.App.4th 133, 155-156; *Jones v. Farmers Ins. Exchange* (2013) 221 Cal.App.4th 986, 998-999).

7.

Ensure the content of the notice complies with California Rules of Court, rule 3.766(d). Provide the following information:

a.

The specific amount the class member will receive and how that amount was calculated.

b.

A separate breakdown for PAGA payments.

c.

The terms of the release(s).

d.

The objection, dispute, and opt-out procedures. Do not make class members sign a form to opt-out.

e.

Ensure the judge's name for the final approval hearing is correct.

The

current notice reflects several errors and problems: (1) it requires that absent class members seeking to opt out sign a specific opt out form, instead of directing that they may opt out by using the form or submitting a written notice clearly stating their intention not to participate in the class action; (2) it does not identify the correct judge who is currently presiding over this action; (3) the release information must be revised to reflect the revised language noted above; and (4) there must be information about the specific and separate amounts the class member will receive for the class claim and for the PAGA claim.

8. Provide proof of submission of the proposed settlement agreement to the LWDA. (Lab. Code, § 2699, subd. (l)(2).)

9. The request for attorney's fees of up to 35% appears excessive. Counsel should be prepared to justify this amount in connection with the motion for final approval.

10. The request for an enhancement award of \$10,000 to Plaintiff appears excessive. The Court will not award above \$7,500 absent substantial justification. Plaintiff should be prepared to justify the higher amount at final approval.

The Court orders the parties to submit supplemental briefing and supporting declarations as well as revised versions of the Settlement Agreement and Class Notice to address the Court's concerns. The parties are to submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental papers are due to be filed by _____. The Court sets a non-appearance case review for _____ to review the supplemental papers. The hearing on the motion for final approval is scheduled for _____ at 10:30 a.m.

BACKGROUND

This is a wage and hour class action. On March 27, 2020, Plaintiff filed a Class Action and PAGA Representative Action Complaint in Los Angeles County Superior Court on behalf of herself and other hourly, nonexempt workers against Defendant IGS Building Services, LLC ("IGS"), alleging the following: (1) failure to pay minimum, regular and overtime wages; (2) failure to compensate for all hours worked; (3) failure to provide legally compliant meal and rest periods; (4) failure to provide complete and accurate wage statements; (5) failure to timely pay wages upon separation of employment; (6) unlawful and unfair business practices; (7) failure to reimburse necessary business expenses; and (8) violations under the PAGA.

On August 26, 2020, Plaintiff amended her Complaint to add Defendant Ismael Garcia, the owner of IGS, as a named defendant.

Plaintiff worked as an hourly, non-exempt employee of IGS and Summit between May 2018 and February 2019. IGS no longer operates in California, but it was a contractor utilized by Summit to perform janitorial services in Summit-owned and managed buildings in California.

Plaintiff alleged that as an employee for Defendants, she and the other employees were subject to the Labor Code violations alleged above. She alleged that Class Members were not paid all wages owed, were not provided legally compliant meal and rest breaks, were not reimbursed for necessary business expenses, and were not provided accurate itemized wage statements.

The Parties participated in a mediation with Daniel Turner on May 10, 2024. While the matter did not settle at this mediation, the Parties thereafter engaged in further discovery and, with Mr. Turner's guidance, the Parties were eventually able to negotiate a complete settlement of Plaintiff's claims as a result of a second mediation on November 11, 2025. A partially executed copy of the Settlement Agreement is attached to the Declaration of Kaveh S. Elihu ("Elihu Decl.") as Exhibit A. The parties are to submit a fully executed Settlement Agreement signed not only by the parties but also by counsel.

Now
before the Court is the Motion for Preliminary Approval of the Settlement.

SETTLEMENT CLASS DEFINITION

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"Class"

means all nonexempt current and former employees employed by Summit Commercial Cleaning Services, Inc., in the State of California from January 1, 2022 until January 10, 2026. (¶1.5)

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"Class

Period" means the period from January 1, 2022 until January 10, 2026. (¶1.13)

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"Aggrieved

Employee" means all nonexempt current and former employees employed by Summit Commercial Cleaning Services, Inc., in the State of California from January 1, 2022 until January 10, 2026.
(¶1.4)

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"PAGA

Period" means the period from January 1, 2022 until January 10, 2026. (¶1.32)

“Participating

Class Member” means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶1.36)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

The

Gross Settlement Amount (“GSA”) is \$300,000, non-reversionary. (¶3.1)

o

Escalator

Clause: The Gross Settlement Amount is based on Defendants' representation that Class Members worked approximately 94,000 Workweeks as of the date of mediation. In the event the qualifying Workweeks worked by Class Members during the Class Period increases by more than 10%, Defendants shall have the option to either: (i) increase the Gross Settlement Amount on a pro-rata basis equal to the percentage increase in the number of Workweeks worked by the Class Members above 10% (for example, if the number of workweeks increases by 11%, the Gross Settlement Amount will increase by 1%) or (ii) shorten the release period to an earlier date at which only the represented number of workweeks plus 10% are covered by the Class Period. (¶3.1.1)

The

Net Settlement Amount (“Net”) (\$137,500) is the GSA minus the following:

o Up to \$105,000 (35%) for attorney fees
(¶3.2.2)

o Up to \$30,000 for litigation costs (Ibid.);

o Up to \$10,000 for a Service Payment to
Named Plaintiff (¶3.2.1);

o Up to \$10,000 for settlement
administration costs (§3.2.3);

o Payment of \$7,500 PAGA penalty (75%
of \$10,000) to the LWDA. (§3.2.5)

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Defendant
will separately pay any and all employer payroll taxes owed on the Wage
Portions of the Individual Class Payments. (§3.1)

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There
is no claim form requirement. (§3.1)

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Class

Member Payments: An Individual

Class Payment calculated by (a) dividing the Net Settlement Amount by the total
number of Workweeks worked by all Participating Class Members during the Class
Period and (b) multiplying the result by each Participating Class Member's
Workweeks. (§3.2.4) Non-Participating Class Members will not
receive any Individual Class Payments. The Administrator will retain amounts
equal to their Individual Class Payments in the Net Settlement Amount for
distribution to Participating Class Members on a pro rata basis. (§3.2.4.2)

o Tax Allocation: 25% as wages; 75% as interest and penalties.
(§3.2.4.1)

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PAGA

Payments: The Administrator will calculate each Individual PAGA Payment by (a)
dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties
(\$2,500.00) by the total number of PAGA Period Pay Periods worked by all
Aggrieved Employees during the PAGA Period and (b) multiplying the result by
each Aggrieved Employee's PAGA Period Pay Periods. (§3.2.5.1)

o Tax Allocation: The Administrator will report the Individual
PAGA Payments on IRS 1099 Forms. (§3.2.5.2)

•
“Response

Deadline” means 45 days after the Administrator mails Notice to Class Members and Aggrieved Employees and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Notice Packets are re-sent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (§1.44) The same deadline applies to workweek challenges. (§17.6)

o If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 5% of the total of all Class Members, Defendants may, but are not obligated to, elect to withdraw from the Settlement. (§19)

•
Funding

of Settlement: Defendant shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendants' share of payroll taxes by transmitting the funds to the Administrator no later than 30 days after the Effective Date. (§14.3)

•
Disbursement

of GSA: Within 14 days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representatives' Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representatives' Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§14.4)

•
Uncashed Settlement Checks: The face of each check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. (§14.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such

checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (¶4.4.3)

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The

settlement administrator will be Simpluris, Inc. (¶1.2)

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Counsel

has not demonstrated that it has submitted the proposed settlement agreement to the LWDA. Proof of such service must be filed with the Court.

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The

named Plaintiffs and class members will release certain claims against Defendant. (See further discussion below).

ANALYSIS OF SETTLEMENT AGREEMENT

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Does a presumption of fairness exist?

1.

Was

the settlement reached through arm's-length bargaining? The Parties participated in a mediation with Daniel Turner on May 10, 2024. While the matter did not settle at this mediation, the Parties thereafter engaged in further discovery and, with Mr. Turner's guidance, the Parties were eventually able to negotiate a complete settlement of Plaintiff's claims as a result of a second mediation on November 11, 2025. (Elihu Decl., ¶¶11-14.)

2.

Were

investigation and discovery sufficient to allow counsel and the court to act intelligently? Class

counsel represents that the Parties realized extreme difficulties in litigating this case through trial. For example, Defendants have maintained throughout the litigation of this case that they have no records relevant to the business or

class in their possession, custody, or control. (Id. at ¶10.) Following Plaintiff's subpoena of IGS's payroll records from 2016 to 2021 from ADP, Inc. and Paychex, Inc.—the payroll processing services that IGS admitted to using when it was in business—Plaintiff attained the name, contact information, and dates of employment of putative class members who were part of the class prior to 2022. (Id. at ¶11.) During the second mediation, Defendant produced documents, subject to mediation privilege, showing limited means to satisfy any settlement or judgment in this matter, particularly for any settlement fund above \$300,000. (Id. at ¶15.) To the extent that the size of the settlement is justified by Defendant's financial condition, the parties must submit admissible evidence to support this justification.

3.

Is counsel

experienced in similar litigation? Yes. Class Counsel is experienced in class action litigation, including wage and hour class action cases, but the Court requires additional substantiation of counsel's asserted experience. (Id. at ¶2.)

4.

What

percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.")

CONCLUSION: The settlement is entitled to a presumption of fairness.

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Is the settlement fair, adequate, and reasonable?

1.

Strength

of Plaintiffs' case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Class Counsel provided the following
exposure analysis:

Claim

Maximum
Exposure

Off-the-Clock Claim

\$3,877,500

Liquidated Damages

\$3,877,500

Meal Period Claim

\$7,755,000

Rest Period Claim

\$7,755,000

Business Expenses Reimbursement Claim

\$940,000

Inaccurate Wage Statements

\$4,700,000

Waiting Time Penalties

\$5,595,480

PAGA Penalties

\$45

million

Total

\$79,500,480

(MPA

ISO Prelim, pp. 14-18.)

2. Risk, expense, complexity

and likely duration of further litigation.

Given the nature of the class claims, the case is likely to be expensive

and lengthy to try. Procedural hurdles

(e.g., motion practice and appeals) are also likely to prolong the litigation

as well as any recovery by the class members.

3. Risk of

maintaining class action status through trial. Even if a class is certified, there is always

a risk of decertification. (See *Weinstat v. Dentsply*

Intern., Inc. (2010) 180 Cal.App.4th 1213,

1226 (“Our Supreme Court has recognized that trial courts

should retain some flexibility in conducting class

actions, which means, under suitable circumstances,

entertaining successive motions on certification if the court subsequently

discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in settlement. Counsel negotiated a

settlement of \$300,000 that is approximately 0.38% of the potential exposure.

Counsel needs to justify this steep

reduction in the calculated exposure Defendant faces in the case based on

information about the weaknesses in Plaintiff’s case and/or present evidence of

any financial constraints faced by Defendant in settling for real value.

The settlement amount, after reduction by the

maximum requested deductions, leaves \$137,500 to be divided among approximately

1,413 class members. Thus, the resulting payments will average \$97.31.

5. Extent of discovery completed and stage of

the proceedings. As indicated above,

at the time of the settlement, Class Counsel had conducted sufficient

discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object and or opt-out. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

Scope of the release

Releases of Claims: Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, in her individual capacity and as a proxy for the State, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶15)

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Release

by Participating Class Members: All Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from any and all claims that were or could have been asserted based on the facts pled in the Operative Complaint or the PAGA Notice, irrespective of theory of liability. This release specifically includes but is not limited to, state wage and hour claims for any and all violations of California's Labor Code and Unfair Competition Law based on Defendant's alleged failure to pay for all hours worked (including minimum, straight time, and overtime wages); meal period violations, including but not limited to failure to provide meal periods and failure to correctly calculate the appropriate rate of pay for meal period premiums; rest period violations, including but not limited to failure to authorize and permit rest periods and failure to correctly calculate the appropriate rate of pay for rest period premiums; failure to maintain accurate

and/or complete records; failure to timely pay final wages during employment and/or at termination; failure to furnish accurate itemized wage statements; failure to reimburse business expenses and unlawful deductions; failure to pay reporting time pay; unfair and/or unlawful competition and/or business practices; and all damages, interest, penalties, attorneys' fees, costs, and other amounts recoverable under said causes of action under California law, to the extent permissible, including, but not limited to, California Labor Code sections 201, 202, 203, 204, 210, 216, 218, 218.5, 218.6, 221, 223, 226, 226.3, 226.7, 256, 510, 512, 516, 558, 558.1, 1174, 1174.5, 1194, 1194.2, 1197, 1197.1, 1198, 1198.5, 1199, 2699, 2699.3, 2802, 2810.5 and the applicable Wage Orders. Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. (¶5.2)

The

Class release cannot encompass any claims arising from the PAGA notice or referencing the PAGA statutes. It should

be limited to "any and all claims that were or reasonably could have been asserted based on the facts pled in the Operative Complaint," with a list of Labor Code provisions other than the PAGA statutes.

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Release

by Aggrieved Employees: The LWDA, Plaintiff as a proxy for the State, and all Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were or could have been asserted based on the facts pled in the Operative Complaint or the PAGA Notice, irrespective of theory of liability. This release specifically includes but is not limited to, state wage and hour claims for any and all violations of California's Labor Code and Unfair Competition Law based on Defendant's alleged failure to pay for all hours worked (including minimum, straight time, and overtime wages); meal period violations, including but not limited to failure to provide meal periods and failure to correctly calculate the appropriate rate of pay for meal period premiums; rest period violations, including but not limited to failure to authorize and permit rest periods and failure to correctly calculate the appropriate rate of pay for rest period premiums; failure to maintain accurate

and/or complete records; failure to timely pay final wages during employment and/or at termination; failure to furnish accurate itemized wage statements; failure to reimburse business expenses and unlawful deductions; failure to pay reporting time pay; unfair and/or unlawful competition and/or business practices; and all damages, interest, penalties, attorneys' fees, costs, and other amounts recoverable under said causes of action under California law, to the extent permissible, including, but not limited to, California Labor Code sections 201, 202, 203, 204, 210, 216, 218, 218.5, 218.6, 221, 223, 226, 226.3, 226.7, 256, 510, 512, 516, 558, 558.1, 1174, 1174.5, 1194, 1194.2, 1197, 1197.1, 1198, 1198.5, 1199, 2699, 2699.3, 2802, 2810.5 during the PAGA Period. Aggrieved Employees only release these claims for the duration of the PAGA Period. (§5.3)

"Released

Parties" means: Summit and each of its former and present directors, officers, shareholders, owners, members, attorneys, insurers, predecessors, successors, assigns, subsidiaries, and affiliates. (§1.42)

The

named Plaintiffs will also provide a general release and CC § 1542 waiver. (§§5.1-5.1.1)

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements required

for class certification is not required, but it is advisable to review each

element when a class is being conditionally certified (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a

different standard to determine the propriety of a settlement class as opposed to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn. 19.)

Finally, the Court is under no "ironclad requirement" to conduct an evidentiary hearing to consider whether the prerequisites for class

certification have been satisfied. (Wershba at 240.)

2.

Analysis

a.

Numerosity. There are approximately 1,148 class members. (Elihu Decl., ¶11.) This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) Class Members are identifiable through Defendants’ records. (MPA ISO Prelim, 21:4-5.)

c.

Community

of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff contends that here, common issues of fact and law predominate because the California statutes relating to each of Plaintiff’s claims, and Defendant’s defenses thereto, apply with equal force and effect to all Class Members. Factually, Plaintiff contends that Defendant’s policies and practices apply class-wide and Defendant’s liability can be determined by facts common to all members of the class. The wage and hour issues are both numerous and substantial, and a class action is the most advantageous method of dealing with the claims of the Class Members. (MPA ISO Prelim, 21:6-11.)

As to typicality, Plaintiff contends that her wage and hour claims are typical of the proposed Class because they arise from the same factual bases and are based on the same legal theories applicable to the other Class Members. Likewise, Plaintiff’s interests are entirely coextensive with the interests of the Class. Plaintiff maintains that he was

injured by the same company-wide practices to which the proposed Class was subject and seek the same relief. Plaintiff has already demonstrated his ability to advocate for the interests of the Class by initiating this litigation, undertaking representative discovery, and evaluating the proposed settlement to assure that it is fair. (Id. at 21:12-18.)

As

to adequacy, Plaintiff represents that she is aware of the duties and risks of serving as class representative and has participated in the litigation. (Declaration of Carolina Portillo.)

d.

Adequacy

of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given

the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

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Is the notice proper?

a.

Content

of class notice. The proposed notice is attached to the Elihu Declaration as Exhibit B. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; attorney fees and costs; enhancement awards; the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

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The

current notice reflects several errors and problems: (1) it requires that absent class members

seeking to opt out sign a specific opt out form, instead of directing that they may opt out by using the form or submitting a written notice clearly stating their intention not to participate in the class action; (2) it does not identify the correct judge who is currently presiding over this action; (3) the release information must be revised to reflect the revised language noted above; and (4) there must be information about the specific and separate amounts the class member will receive for the class claim and for the PAGA claim.

a.

Method

of class notice. Not

later than 15 days after the Court grants Preliminary Approval of the Settlement, Defendant will deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2) Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice, with Spanish translation, if applicable. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3)

Notice will be provided in English and Spanish if applicable. (¶1.12)

Notice of Final Judgment will be posted on the Settlement Administrator's website. (¶7.8.1)

b.

Cost

of class notice. As indicated above, settlement administration costs are estimated to equal approximately \$10,000. Prior to the time of the final fairness hearing, the administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$105,000 (35%) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class

Counsel should also be prepared to justify the costs (capped at \$30,000) sought by detailing how they were incurred.

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Incentive Award to Class Representatives

Class Counsel will seek a Service

Payment of \$10,000 to the named

Plaintiff. In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named

Plaintiffs must explain why they “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial

courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id.

at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement award at the time of final approval.